



Insurance risk and regulation

Insurance is in essence a form of risk management, by which individuals and other entities pay a fee to transfer a potential financial loss to an insurer in exchange for compensation if the loss occurs.

How it works

Insurance mitigates risks that can be quantified and anticipated as potentially or possibly likely to happen. All types of insurance—life, home, corporate, business, and motor—work in the same way, by pooling risk.

Without insurance, individuals would be exposed to unexpected events leading to financial hardship,

such as premature death, accidents, fire, and theft. Businesses would be vulnerable to closure, governments to bankruptcy, and companies unable to grow and develop.

Insurance companies take on the risks of individuals, companies, and governments in exchange for a fee, or premium, which represents a small proportion of the value of the risk they have agreed to cover.

Premiums are based on the insurer's past experience, known as claims history, with regard to that particular risk, and also an assessment of the client's risk as an individual or business.

Relatively small premiums paid by a large group of people are used to fund the payouts required when a small number of those customers make a claim.

Insuring a business

If a business wants to insure against the risk of adverse events, such as a fire destroying its premises, it pays a premium to an insurance company, which promises to pay out a certain amount of money should an adverse event happen. The circumstances on which the insurance company will pay out are listed in the contract between the business and the insurance company, known as the policy schedule. The premium gives cover for all the risks specified in the policy schedule. Risks that are not covered are classed as "exclusions."

INSUREES

Individuals or businesses will each pay a premium—a fraction of the financial value of risk insured—to cover them against fire, death, accidental damage to their house or car, and theft.

